

Negative Impacts of Gig-Work Algorithmic Management

Technology is often marketed as a panacea that will provide more comfort for people, giving them more freedom and flexibility. Yet, in the past year, AI-based gig-work platforms have equally shown that innovation can bring us the dark side of the coin. Companies like Uber, Lyft, DoorDash, and Instacart practice "algorithmic management"; that is, a compulsory system where automated decision-making software dominates every facet of drivers' and delivery couriers' work. Instead of being an aid to the workforce, this technology has created economic instability, surveillance-based pressure, and the absence of basic workplace protections. The following discussion will outline technology, its impact on gig workers' livelihoods, the limited measures companies have taken so far to address these issues, and the extent of their realistic capabilities in mitigating the negative impacts on workers.

An AI system, controlling workers through a smartphone app, is the disruptive technology that has been the major cause of this problem. The algorithm automatically assigns trips, monitors their performance, determines their pay, and even can fully deactivate them. Human Rights Watch refers to this as "dynamic wage-setting," like being left in the dark for the workers, which means they have no idea how their earnings are computed or why they are suddenly changed (Human Rights Watch, 2025). It was shown in an inquiry last May 2025 in Chicago that many drivers today make below the minimum wage after accounting for half of the fare for the passenger and fuel, insurance, and car maintenance expenses besides (Illinois Answers Project, 2025). The fluctuating pay from one week to the next place them in a situation of uncertainty, which makes it very hard to strategize for rent, bills, and family needs. The very automation adding to the profitability of the apps is harming the workers who are dependent on them.

This technology primarily affects gig workers. There are people who may use gig apps solely for the sake of earning some extra money, but most drivers and delivery couriers consider them their main source of income. Such workers are not equipped with anything that could be considered an assurance for the continuous flow of wages, health care, or job security—all three topics were among the most significant conversations in our classes, pointing to the modern inequities in the use of technology. The worst thing that can happen to a worker is "algorithmic deactivation", which means the app can completely ban a driver based on a complaint, a mistake made by the software, or a low rating. Loss of the app means the worker has no income at all; however, they are not treated like an employee with rights, but rather are seen as an "independent contractor," so that the company doesn't become legally liable. This is proof of our class discussions about the power shift: corporations are the only entities that control the entire system that determines who can make a living and who cannot.

The psychological ramifications underscore the gravity of the issue. Gig apps constantly monitor workers' driving speed, acceptance rates, and availability, which in turn makes workers feel that they should work more to earn the same wage if that is the case. Most of the drivers suffer from anxiety, fatigue, and mental stress because of the very low salary or the sudden fear of being disconnected from the app (Human Rights Watch, 2025). An ethical question arose from one of our lectures, where it

was claimed that digital labor systems prioritize consumer satisfaction over the well-being of workers. Technology that is meant to facilitate life, rather than making it miserable and emotionally hard.

Owners of gig platforms have made very few, mainly reactionary, attempts to address the criticism that has been leveled against them regarding the treatment of their workers. They typically place great emphasis on "flexibility," and at the same time, they dispute claims that earnings are below the minimum wage by indicating only "engaged time" while ignoring unpaid waiting hours (Human Rights Watch, 2025). While some apps give rather cryptic reasons for deactivation and offer appeals, studies suggest that reinstatement is not very common. Companies resist laws that would benefit workers and lobby against regulations aimed at improving pay standards. This preoccupation signals that they are more concerned about their profits and public image than about making real improvements in working conditions.

Nonetheless, these companies possess the necessary resources and data to take more significant measures. Workers should be given the transparency in pay computation that is their due; they must be informed about the process of calculating their earnings, which includes the base fare and bonuses. Besides, granting workers comprehensive due process in the event of deactivation is of paramount importance; being an employee who makes a single mistake or being subject to an unfair review for a month should not result in a worker losing their income. Human Rights Watch opposes total automated deactivation and recommends that companies establish standards for human review, with the specific requirement of providing clear explanations for their decisions.

Additionally, it would be beneficial to offer guarantees of minimum earnings that always apply online, rather than just to the minutes of active delivery or ridesharing. To this end, companies could carry out automatic "top-ups" to ensure that during low-demand periods, their workers' earnings meet the minimum wage. These measures are very much doable considering the large revenue and investor support.

Finally, the empowerment of workers through participation in governance and decision-making, collaboration with driver organizations, the formation of technologist-worker committees, and the gathering of feedback can be sources of more ethical practices that produce justice and share accountability.

In conclusion, AI-based algorithmic management has inflicted enormous negative repercussions on the lives of gig workers during the last year. The workers were lured by the promise of flexibility but are now in a situation with unstable income, under constant surveillance, and are even threatened with being cut off from their only source of income without any explanation. The suffering is a result of a technological system that prioritizes automation and profit over human rights. Gig-platform companies can change their operating mode—they just do not want to. To ensure that technology truly benefits society, companies should employ ethical measures that safeguard workers' well-being and fairness. The cutting edge should not come at the price of dignity or economic security. People should be the ones benefiting from technology, not being controlled through hidden algorithms in their lives.

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